Costco Wholesale Corporation (COST) Valuation Analysis

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FY2022-FY2025 historical financials | FY2026E-FY2027E forecasts

Overview

I analyzed Costco by forecasting its operating results and estimating its value using a discounted cash flow (DCF) model and a forward EV/EBITD multiple. The model links store growth, sales per store and membership fees to revenue, then projects expenses, cash flow and return on invested capital (ROIC).

Financial summary

USD millions, except EPS and ratios	2025	2026E	2027E
Stores	914	942	972
Total revenue	275,235	299,895	321,496
Operating income	10,383	11,265	12,477
Operating margin	3.8%	3.8%	3.9%
Net income	8,099	8,817	9,744
Diluted EPS ($)	18.21	19.83	21.95
Operating cash flow	13,335	13,671	14,640
Capital spending	-5,498	-5,800	-5,000
ROIC	32.4%	32.9%	33.7%

Main assumptions

The model assumes 28 new stores in FY2026 and 30 in FY2027. Comparable sales growth is 6.8% and 4.5%, respectively. Merchandise costs are 88.9% of net sales in FY2026 and 88.8% in FY2027, while SG&A is 9.05% and 9.00% of total revenue. The forecast tax rate is 25%.

Operating outlook

Revenue grows from $275.2 billion in FY2025 to $321.5 billion in FY2027E. Operating income increases from $10.4 billion to $12.5 billion. The forecast reflects continued store expansion and higher sales per store, with a modest improvement in operating margin by FY2027.

Valuation Results

Discounted cash flow

The DCF discounts forecast free cash flow for FY2026 and FY2027, plus a terminal value. The discount rate is 7.92%, based on a 0.98 beta, a 4.0% risk-free rate and an 8.0% expected market return. The terminal growth assumption is 5.5%.

DCF calculation	USD millions, except per share
FY2026E / FY2027E free cash flow	6,583 / 8,269
Present value of forecast cash flows	13,200
Present value of terminal value	309,528
Enterprise value	322,728
Net cash added to enterprise value	9,571
Equity value	332,299
Shares outstanding (millions)	444.8
Estimated value per share	$747.08

Forward EV/EBITD valuation

Applying a 25.0x multiple to FY2027E EBITD of $15.3 billion gives an enterprise value of $382.7 billion. After adding forecast net cash and discounting the equity value back two years, the estimated value is $778.95 per share. EBITD is defined as operating income plus depreciation and amortization.

Approach	Estimated value	Vs. reference price
DCF	$747.08	-25.1%
Forward EV/EBITD	$778.95	-21.9%
Reference share price	$997.84	-

Conclusion and limitations

Both methods produce values below the reference share price. Under these assumptions, Costco’s projected growth and returns do not fully support that price. The DCF is sensitive to its long-term assumptions: terminal value accounts for approximately 95.9% of enterprise value, and the 5.5% growth rate is close to the 7.92% discount rate. The methodology appendix shows a range of discount and growth assumptions to test the conclusion.

Reference price is a model input. See methodology appendix for the DCF sensitivity table and source basis.

Operating Assumptions & Income Statement

USD millions, except per-share amounts, store counts, multiples and percentages.

Operating assumptions

Metric	2022	2023	2024	2025	2026E	2027E
Total Stores	838	861	890	914	942	972
Store Count Growth		2.74%	3.37%	2.70%	3.06%	3.18%
Store Added		23	29	24	28	30
Net Sales per Store	265.79	276.09	280.48	295.31	315.39	329.58
Comparable Sales Growth		3.00%	5.30%	5.90%	6.80%	4.50%
Membership Fees per Store	5.04	5.32	5.42	5.82	6.12	6.36
Merch Cost % of Net Sales	89.52%	89.43%	89.08%	88.88%	88.90%	88.80%
SGA % of Total Revenue	8.71%	8.91%	8.96%	9.07%	9.05%	9.00%

Income statement

Metric	2022	2023	2024	2025	2026E	2027E
REVENUE						
Net sales	222,730	237,710	249,625	269,912	294,138	315,410
Membership fees	4,224	4,580	4,828	5,323	5,757	6,086
Total revenue	226,954	242,290	254,453	275,235	299,895	321,496
OPERATING EXPENSES						
Merchandise costs	199,382	212,586	222,358	239,886	261,489	280,084
Merchandise gross profit	23,348	25,124	27,267	30,026	32,649	35,326
Merchandise gross margin	10.48%	10.57%	10.92%	11.12%	11.10%	11.20%
Selling, general and administrative	19,779	21,590	22,810	24,966	27,140	28,935
Operating income	7,793	8,114	9,285	10,383	11,265	12,477
Operating margin	3.43%	3.35%	3.65%	3.77%	3.76%	3.88%
EBITD	9,693	10,191	11,522	12,809	13,886	15,307
EBITD margin	4.27%	4.21%	4.53%	4.65%	4.63%	4.76%
OTHER INCOME EXPENSE						
Interest expense	-158	-160	-169	-154	-130	-125
Interest income and other, net	205	533	624	589	620	640
INCOME BEFORE INCOME TAXES	7,840	8,487	9,740	10,818	11,755	12,992
Provision for income taxes	1,925	2,195	2,373	2,719	2,939	3,248
Effective tax rate	24.55%	25.86%	24.36%	25.13%	25.00%	25.00%
NET INCOME	5,915	6,292	7,367	8,099	8,817	9,744
Diluted EPS	13.14	14.16	16.56	18.21	19.83	21.95
Fully diluted shares	450.20	444.40	444.90	444.80	444.50	444

Growth & Balance Sheet

USD millions, except per-share amounts, store counts, multiples and percentages.

Annual growth

Metric	2022	2023	2024	2025	2026E	2027E
Net sales growth	15.98%	6.73%	5.01%	8.13%	8.98%	7.23%
Membership fee growth	8.95%	8.43%	5.41%	10.25%	8.15%	5.73%
Total revenue growth	15.83%	6.76%	5.02%	8.17%	8.96%	7.20%
Operating income growth	16.17%	4.12%	14.43%	11.83%	8.50%	10.76%
Net income growth	16.46%	6.37%	17.09%	9.94%	8.86%	10.52%
Diluted EPS growth	16.59%	7.76%	16.95%	9.96%	8.93%	10.65%

Balance sheet

Metric	2022	2023	2024	2025	2026E	2027E
ASSETS						
CURRENT ASSETS						
Cash and cash equivalents	10,203	13,700	9,906	14,161	18,704	24,717
Short-term investments	846	1,534	1,238	1,123	1,123	1,123
Receivables, net	2,241	2,285	2,721	3,203	3,490	3,741
Merchandise inventories	17,907	16,651	18,647	18,116	19,747	21,152
Other current assets	1,499	1,709	1,734	1,777	1,820	1,850
Total current assets	32,696	35,879	34,246	38,380	44,884	52,583
OTHER ASSETS						
PP&E	24,646	26,684	29,032	31,909	35,089	38,459
Operating lease right-of-use assets	2,774	2,713	2,617	2,725	2,750	2,775
Other long-term assets	4,050	3,718	3,936	4,085	4,100	4,100
TOTAL ASSETS	64,166	68,994	69,831	77,099	86,823	97,917
LIABILITIES AND EQUITY						
CURRENT LIABILITIES						
Accounts payable	17,848	17,483	19,421	19,783	21,565	23,098
Accrued salaries and benefits	4,381	4,278	4,794	5,205	5,658	6,032
Accrued member rewards	1,911	2,150	2,435	2,677	2,895	3,061
Deferred membership fees	2,174	2,337	2,501	2,854	3,086	3,263
Current portion of long-term debt	73	1,081	103	0	0	0
Other current liabilities	5,611	6,254	6,210	6,589	7,179	7,696
Total current liabilities	31,998	33,583	35,464	37,108	40,384	43,151
OTHER LIABILITIES						
Long-term debt, excluding current portion	6,484	5,377	5,794	5,713	5,713	5,713
Long-term operating lease liabilities	2,482	2,426	2,375	2,460	2,460	2,460
Other long-term liabilities	2,555	2,550	2,576	2,654	2,700	2,750
TOTAL LIABILITIES	43,519	43,936	46,209	47,935	51,257	54,074
SHAREHOLDER'S EQUITY	20,647	25,058	23,622	29,164	35,566	43,843
TOTAL LIABILITIES AND EQUITY	64,166	68,994	69,831	77,099	86,823	97,917

Consolidated Cash Flow Statement

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2022	2023	2024	2025
CASH FLOWS FROM OPERATING ACTIVITIES				
Net income	5,915	6,292	7,367	8,099
Depreciation and amortization	1,900	2,077	2,237	2,426
Stock-based compensation	724	774	818	860
Other operating items, net	-1,147	1,925	917	1,950
Net cash provided by operating activities	7,392	11,068	11,339	13,335
CASH FLOWS FROM INVESTING ACTIVITIES				
Additions to property and equipment	-3,891	-4,323	-4,710	-5,498
Purchases of short-term investments	-1,121	-1,622	-1,470	-1,028
Maturities of short-term investments	1,145	937	1,790	1,141
Other investing items, net	-48	36	-19	74
Net cash used in investing activities	-3,915	-4,972	-4,409	-5,311
CASH FLOWS FROM FINANCING ACTIVITIES				
Cash dividend payments	-1,498	-1,251	-9,041	-2,183
Repurchases of common stock	-439	-676	-700	-903
Other financing items, net	-2,346	-687	-1,023	-689
Net cash used in financing activities	-4,283	-2,614	-10,764	-3,775
Effects of Exchange Rates Changes on Cash	-249	15	40	6
Net change in cash and cash equivalents	-1,055	3,497	-3,794	4,255
Cash and cash equivalents at beginning of year	11,258	10,203	13,700	9,906
Cash and cash equivalents at end of year	10,203	13,700	9,906	14,161

Funds Flow Statement

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2022	2023	2024	2025	2026E	2027E
Net income	5,915	6,292	7,367	8,099	8,817	9,744
Depreciation and amortization	1,900	2,077	2,237	2,426	2,620	2,830
Share based compensation	724	774	818	860	920.20	984.61
Deferred income taxes	-440	246	-57	244	0	0
Other	296	338	383	441	0	0
Changes in working capital	-1,003	1,341	591	1,265	1,314	1,081
Cash flow from operations	7,392	11,068	11,339	13,335	13,671	14,640
Capital spending	-3,891	-4,323	-4,710	-5,498	-5,800	-5,000
Excess cash flow	3,501	6,745	6,629	7,837	7,871	9,640
Change in debt, net	-753	-93	-571	-149	0	0
Share repurchases, net	-439	-676	-700	-903	-948.15	-995.56
Dividends	-1,498	-1,251	-9,041	-2,183	-2,380	-2,631
Change in marketable securities, net	24	-685	320	113	0	0
Other	-1,890	-543	-431	-460	0	0
Change in cash	-1,055	3,497	-3,794	4,255	4,543	6,014

ROIC & WACC

USD millions, except per-share amounts, store counts, multiples and percentages.

Return on invested capital

Metric	2022	2023	2024	2025	2026E	2027E
Operating income	7,793	8,114	9,285	10,383	11,265	12,477
Taxes	1,913	2,099	2,262	2,610	2,816	3,119
NOPAT	5,880	6,015	7,023	7,773	8,449	9,358
Income taxes	1,925	2,195	2,373	2,719	2,939	3,248
Pre-tax income	7,840	8,487	9,740	10,818	11,755	12,992
Effective tax rate	24.55%	25.86%	24.36%	25.13%	25.00%	25.00%
Invested capital						
Net working capital	-10,278	-11,857	-12,259	-14,012	-15,326	-16,408
PP&E	24,646	26,684	29,032	31,909	35,089	38,459
Other Assets	6,824	6,431	6,553	6,810	6,850	6,875
Total Invested Capital	21,192	21,258	23,326	24,707	26,613	28,926
Average Invested Capital	19,822	21,225	22,292	24,016	25,660	27,769
ROIC	29.66%	28.34%	31.50%	32.37%	32.93%	33.70%

Weighted average cost of capital

Assumption / calculation	Value	Additional input
Beta	0.98	
Risk free rate	4.00%	
Return on market	8.00%	
CAPM	7.92%	
Effective Tax Rate	25.13%	
Debt cost of capital	4.12%	5.50%
Equity cost of capital	7.92%	
After-tax cost of debt	3.08%	
Net debt	-9,571	
Equity capitalization	383,569	
Total capitalization	373,998	
Net debt weighting	0.00%	
Equity weighting	102.56%	
Total	102.56%	
WACC		
Cost of debt	0.00%	
Cost of equity	7.92%	
Total (WACC)	7.92%	

Discounted Cash Flow Valuation

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2022	2023	2024	2025	2026E	2027E	Terminal value
Operating income	7,793	8,114	9,285	10,383	11,265	12,477	
Tax rate	24.55%	25.86%	24.36%	25.13%	25.00%	25.00%	
Taxes	1,913	2,099	2,262	2,610	2,816	3,119	
NOPAT	5,880	6,015	7,023	7,773	8,449	9,358	
Depreciation and amort	1,900	2,077	2,237	2,426	2,620	2,830	
Capital spending	-3,891	-4,323	-4,710	-5,498	-5,800	-5,000	
Working capital cash flow	-1,003	1,341	591	1,265	1,314	1,081	
Free cash flow	2,886	5,110	5,141	5,966	6,583	8,269	360,498
Cost of capital					7.92%	7.92%	7.92%
NPV					6,100	7,100	309,528

Equity value calculation

Metric	Value
Assumed growth rate	5.50%
NPV	322,728
Net debt	-9,571
Equity capitalization	332,299
Shares outstanding	444.80
Estimated stock price	747.08
Reference share price	997.84

Valuation Multiples & Target Price

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2022	2023	2024	2025	2026E	2027E
Model reference price	456.50	660	916.27	862.34	984	984
Net debt	-4,492	-8,776	-5,247	-9,571	-14,114	-20,127
Market capitalization	205,516	293,304	407,649	383,569	437,388	436,896
Enterprise value	201,024	284,528	402,402	373,998	423,274	416,769
Invested capital	21,192	21,258	23,326	24,707	26,613	28,926
EBITD	9,693	10,191	11,522	12,809	13,886	15,307
EBITD margin	4.27%	4.21%	4.53%	4.65%	4.63%	4.76%
EBITD growth		5.14%	13.06%	11.17%	8.40%	10.24%
ROIC	29.66%	28.34%	31.50%	32.37%	32.93%	33.70%
EV/EBITD (trailing)	20.74	27.92	34.92	29.20	30.48	27.23
EV/invested capital	9.49	13.38	17.25	15.14	15.91	14.41
Unlevered free cash flow yield	1.44%	1.80%	1.28%	1.60%	1.56%	1.98%
EBITD conversion	36.12%	66.19%	57.53%	61.18%	56.69%	62.98%

Target price

Metric	Value
2027E EBITD	15,307
Target EBITD multiple	25
Total market value	382,678
Net debt	-20,127
Equity capitalization	402,805
Discounted back	345,853
Shares outstanding	444
Estimated Stock price	778.95
Reference share price	997.84

Peer comparison

Metric	Costco	Walmart
Revenue growth	8.2%	4.1%
FY2025 EBITD margin	4.7%	6.1%
FY2025 ROIC	32.4%	17.9%
FY2025 EV / EBITD	29.2x	19.5x
EV / invested capital	15.1x	6.4x
Unlevered free cash flow yield	1.6%	1.5%

FY2024 Quarterly Results

USD millions, except per-share amounts, store counts, multiples and percentages.

Operating assumptions

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Total Stores	871	875	882	890
Store Count Growth				
Store Added	871	4	7	8
Net Sales per Store	65.12	65.52	65.07	87.85
Comparable Sales Growth	3.80%	5.60%	6.60%	5.40%
Membership Fees per Store	1.24	1.27	1.27	1.70
Merch Cost % of Net Sales	88.96%	89.20%	89.16%	89.00%
SGA % of Total Revenue	9.27%	8.97%	8.79%	8.87%

Income statement

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
REVENUE				
Net sales	56,717	57,331	57,392	78,185
Membership fees	1,082	1,111	1,123	1,512
Total revenue	57,799	58,442	58,515	79,697
OPERATING EXPENSES				
Merchandise costs	50,457	51,140	51,173	69,588
Merchandise gross profit	6,260	6,191	6,219	8,597
Merchandise gross margin	11.04%	10.80%	10.84%	11.00%
Selling, general and administrative	5,358	5,240	5,145	7,067
Operating income	1,984	2,062	2,197	3,042
Operating margin	3.43%	3.53%	3.75%	3.82%
EBITD	2,526	2,615	2,763	3,618
EBITD margin	4.37%	4.47%	4.72%	4.54%
OTHER INCOME EXPENSE				
Interest expense	-38	-41	-41	-49
Interest income and other, net	160	216	128	120
INCOME BEFORE INCOME TAXES	2,106	2,237	2,284	3,113
Provision for income taxes	517	494	603	759
Effective tax rate	24.55%	22.08%	26.40%	24.38%
NET INCOME	1,589	1,743	1,681	2,354
Diluted EPS	3.58	3.92	3.78	5.29
Fully diluted shares	443.90	444.60	444.70	445

Growth

Metric	Q1 2024	Q2 2024	Q3 2024	Q4 2024
Net sales growth		1.08%	0.11%	36.23%
Membership fee growth		2.68%	1.08%	34.64%
Total revenue growth		1.11%	0.12%	36.20%
Operating income growth		3.93%	6.55%	38.46%
Net income growth		9.69%	-3.56%	40.04%
Diluted EPS growth		9.52%	-3.58%	39.94%

FY2025 Quarterly Results

USD millions, except per-share amounts, store counts, multiples and percentages.

Operating assumptions

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Total Stores	897	897	906	914
Store Count Growth	2.99%	2.51%	2.72%	2.70%
Store Added	7	0	9	8
Net Sales per Store	67.99	69.71	68.39	92.38
Comparable Sales Growth	5.20%	6.80%	5.70%	5.70%
Membership Fees per Store	1.30	1.33	1.37	1.89
Merch Cost % of Net Sales	88.73%	89.15%	88.75%	88.87%
SGA % of Total Revenue	9.41%	8.89%	8.99%	9.03%

Income statement

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
REVENUE				
Net sales	60,985	62,530	61,965	84,432
Membership fees	1,166	1,193	1,240	1,724
Total revenue	62,151	63,723	63,205	86,156
OPERATING EXPENSES				
Merchandise costs	54,109	55,744	54,996	75,037
Merchandise gross profit	6,876	6,786	6,969	9,395
Merchandise gross margin	11.27%	10.85%	11.25%	11.13%
Selling, general and administrative	5,846	5,663	5,679	7,778
Operating income	2,196	2,316	2,530	3,341
Operating margin	3.53%	3.63%	4.00%	3.88%
EBITD	2,778	2,917	3,139	3,975
EBITD margin	4.47%	4.58%	4.97%	4.61%
OTHER INCOME EXPENSE				
Interest expense	-37	-36	-35	-46
Interest income and other, net	147	142	85	215
INCOME BEFORE INCOME TAXES	2,306	2,422	2,580	3,510
Provision for income taxes	508	634	677	900
Effective tax rate	22.03%	26.18%	26.24%	25.64%
NET INCOME	1,798	1,788	1,903	2,610
Diluted EPS	4.04	4.02	4.28	5.87
Fully diluted shares	445	444.80	444.60	444.60

Growth

Metric	Q1 2025	Q2 2025	Q3 2025	Q4 2025
Net sales growth	-22.00%	2.53%	-0.90%	36.26%
Membership fee growth	-22.88%	2.32%	3.94%	39.03%
Total revenue growth	-22.02%	2.53%	-0.81%	36.31%
Operating income growth	-27.81%	5.46%	9.24%	32.06%
Net income growth	-23.62%	-0.56%	6.43%	37.15%
Diluted EPS growth	-23.62%	-0.51%	6.48%	37.15%

FY2026E Quarterly Forecast

USD millions, except per-share amounts, store counts, multiples and percentages.

Operating assumptions

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E
Total Stores	923	924	933	942
Store Count Growth	2.90%	3.01%	2.98%	3.06%
Store Added	9	1	9	9
Net Sales per Store	72.34	74.45	72.50	97.73
Comparable Sales Growth	6.40%	6.80%	6.00%	5.80%
Membership Fees per Store	1.36	1.40	1.44	1.98
Merch Cost % of Net Sales	88.90%	88.90%	88.90%	88.90%
SGA % of Total Revenue	9.05%	9.05%	9.05%	9.05%

Income statement

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E
REVENUE				
Net sales	66,443	68,755	67,314	91,626
Membership fees	1,260	1,290	1,341	1,866
Total revenue	67,703	70,045	68,655	93,491
OPERATING EXPENSES				
Merchandise costs	59,068	61,123	59,842	81,455
Merchandise gross profit	7,375	7,632	7,472	10,170
Merchandise gross margin	11.10%	11.10%	11.10%	11.10%
Selling, general and administrative	6,127	6,339	6,213	8,461
Operating income	2,508	2,583	2,599	3,575
Operating margin	3.70%	3.69%	3.79%	3.82%
EBITD	3,136	3,232	3,257	4,260
EBITD margin	4.63%	4.61%	4.74%	4.56%
OTHER INCOME EXPENSE				
Interest expense	-35	-33	-32	-30
Interest income and other, net	155	148	155	162
INCOME BEFORE INCOME TAXES	2,628	2,698	2,722	3,707
Provision for income taxes	656.97	674.51	680.60	926.79
Effective tax rate	25.00%	25.00%	25.00%	25.00%
NET INCOME	1,971	2,024	2,042	2,780
Diluted EPS	4.43	4.55	4.59	6.26
Fully diluted shares	444.70	444.50	444.50	444.50

Growth

Metric	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E
Net sales growth	8.95%	9.96%	8.63%	8.52%
Membership fee growth	8.04%	8.16%	8.13%	8.22%
Total revenue growth	8.93%	9.92%	8.62%	8.51%
Operating income growth	14.20%	11.53%	2.74%	7.01%
Net income growth	9.62%	13.17%	7.29%	6.53%
Diluted EPS growth	9.69%	13.25%	7.32%	6.55%

Historical Balance Sheet

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2025	2024	2023	2022
ASSETS				
CURRENT ASSETS				
Cash and cash equivalents	14,161	9,906	13,700	10,203
Short-term investments	1,123	1,238	1,534	846
Receivables, net	3,203	2,721	2,285	2,241
Merchandise inventories	18,116	18,647	16,651	17,907
Other current assets	1,777	1,734	1,709	1,499
Total current assets	38,380	34,246	35,879	32,696
OTHER ASSETS				
PP&E	31,909	29,032	26,684	24,646
Operating lease right-of-use assets	2,725	2,617	2,713	2,774
Other long-term assets	4,085	3,936	3,718	4,050
TOTAL ASSETS	77,099	69,831	68,994	64,166
LIABILITIES AND EQUITY				
CURRENT LIABILITIES				
Accounts payable	19,783	19,421	17,483	17,848
Accrued salaries and benefits	5,205	4,794	4,278	4,381
Accrued member rewards	2,677	2,435	2,150	1,911
Deferred membership fees	2,854	2,501	2,337	2,174
Current portion of long-term debt	0	103	1,081	73
Other current liabilities	6,589	6,210	6,254	5,611
Total current liabilities	37,108	35,464	33,583	31,998
OTHER LIABILITIES				
Long-term debt, excluding current portion	5,713	5,794	5,377	6,484
Long-term operating lease liabilities	2,460	2,375	2,426	2,482
Other long-term liabilities	2,654	2,576	2,550	2,555
TOTAL LIABILITIES	47,935	46,209	43,936	43,519
SHAREHOLDER'S EQUITY	29,164	23,622	25,058	20,647
TOTAL LIABILITIES AND EQUITY	77,099	69,831	68,994	64,166

Historical Income Statement

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2025	2024	2023	2022
REVENUE				
Net sales	269,912	249,625	237,710	222,730
Membership fees	5,323	4,828	4,580	4,224
Total revenue	275,235	254,453	242,290	226,954
OPERATING EXPENSES				
Merchandise costs	239,886	222,358	212,586	199,382
Merchandise gross profit	30,026	27,267	25,124	23,348
Merchandise gross margin	11.12%	10.92%	10.57%	10.48%
Selling, general and administrative	24,966	22,810	21,590	19,779
Operating income	10,383	9,285	8,114	7,793
Operating margin	3.77%	3.65%	3.35%	3.43%
EBITD	12,809	11,522	10,191	9,693
EBITD margin	4.65%	4.53%	4.21%	4.27%
OTHER INCOME EXPENSE				
Interest expense	-154	-169	-160	-158
Interest income and other, net	589	624	533	205
INCOME BEFORE INCOME TAXES	10,818	9,740	8,487	7,840
Provision for income taxes	2,719	2,373	2,195	1,925
Effective tax rate	25.13%	24.36%	25.86%	24.55%
NET INCOME	8,099	7,367	6,292	5,915
Diluted EPS	18.21	16.56	14.16	13.14
Fully diluted shares	444.80	444.90	444.40	450.20
REVENUE BUILD (Price × Quantity)				
Total Stores	914	890	861	838
Net Sales per Store	295.31	280.48	276.09	265.79
Net Sales per Store Growth		-5.02%	-1.57%	-3.73%
Membership Fees per Store	5.82	5.42	5.32	5.04

Historical Quarterly Income Statement

USD millions, except per-share amounts, store counts, multiples and percentages.

FY2025

Metric	Q4 2025	Q3 2025	Q2 2025	Q1 2025
REVENUE				
Net sales	84,432	61,965	62,530	60,985
Membership fees	1,724	1,240	1,193	1,166
Total revenue	86,156	63,205	63,723	62,151
OPERATING EXPENSES				
Merchandise costs	75,037	54,996	55,744	54,109
Merchandise gross profit	9,395	6,969	6,786	6,876
Merchandise gross margin	11.13%	11.25%	10.85%	11.27%
Selling, general and administrative	7,778	5,679	5,663	5,846
Operating income	3,341	2,530	2,316	2,196
Operating margin	3.88%	4.00%	3.63%	3.53%
EBITD	3,975	3,139	2,917	2,778
EBITD margin	4.61%	4.97%	4.58%	4.47%
OTHER INCOME EXPENSE				
Interest expense	-46	-35	-36	-37
Interest income and other, net	215	85	142	147
INCOME BEFORE INCOME TAXES	3,510	2,580	2,422	2,306
Provision for income taxes	900	677	634	508
Effective tax rate	25.64%	26.24%	26.18%	22.03%
NET INCOME	2,610	1,903	1,788	1,798
Diluted EPS	5.87	4.28	4.02	4.04
Fully diluted shares	444.60	444.60	444.80	445
REVENUE BUILD (Price × Quantity)				
Total Stores	914	906	897	897
Net Sales per Store	92.38	68.39	69.71	67.99
Net Sales per Store Growth (YoY)	5.15%	5.11%	6.39%	4.41%
Membership Fees per Store	1.89	1.37	1.33	1.30

Historical Quarterly Income Statement - FY2024

USD millions, except per-share amounts, store counts, multiples and percentages.

FY2024

Metric	Q4 2024	Q3 2024	Q2 2024	Q1 2024
REVENUE				
Net sales	78,185	57,392	57,331	56,717
Membership fees	1,512	1,123	1,111	1,082
Total revenue	79,697	58,515	58,442	57,799
OPERATING EXPENSES				
Merchandise costs	69,588	51,173	51,140	50,457
Merchandise gross profit	8,597	6,219	6,191	6,260
Merchandise gross margin	11.00%	10.84%	10.80%	11.04%
Selling, general and administrative	7,067	5,145	5,240	5,358
Operating income	3,042	2,197	2,062	1,984
Operating margin	3.82%	3.75%	3.53%	3.43%
EBITD	3,618	2,763	2,615	2,526
EBITD margin	4.54%	4.72%	4.47%	4.37%
OTHER INCOME EXPENSE				
Interest expense	-49	-41	-41	-38
Interest income and other, net	120	128	216	160
INCOME BEFORE INCOME TAXES	3,113	2,284	2,237	2,106
Provision for income taxes	759	603	494	517
Effective tax rate	24.38%	26.40%	22.08%	24.55%
NET INCOME	2,354	1,681	1,743	1,589
Diluted EPS	5.29	3.78	3.92	3.58
Fully diluted shares	445	444.70	444.60	443.90
REVENUE BUILD (Price × Quantity)				
Total Stores	890	882	875	871
Net Sales per Store	87.85	65.07	65.52	65.12
Net Sales per Store Growth (YoY)				
Membership Fees per Store	1.70	1.27	1.27	1.24

Historical Funds Flow Statement

USD millions, except per-share amounts, store counts, multiples and percentages.

Metric	2022	2023	2024	2025
Net income	5,915	6,292	7,367	8,099
Depreciation and amortization	1,900	2,077	2,237	2,426
Share based compensation	724	774	818	860
Deferred income taxes	-440	246	-57	244
Other	296	338	383	441
Changes in working capital	-1,003	1,341	591	1,265
Cash flow from operations	7,392	11,068	11,339	13,335
Capital spending	-3,891	-4,323	-4,710	-5,498
Excess cash flow	3,501	6,745	6,629	7,837
Change in debt, net	-753	-93	-571	-149
Share repurchases, net	-439	-676	-700	-903
Dividends	-1,498	-1,251	-9,041	-2,183
Change in marketable securities, net	24	-685	320	113
Other	-1,890	-543	-431	-460
Change in cash	-1,055	3,497	-3,794	4,255

Costco Wholesale

Methodology and Sources

Model scope and source basis

The FY2026-FY2027 forecast links warehouses, sales per warehouse and membership fees to total revenue. Merchandise costs and SG&A drive operating income; tax, investment and working capital determine cash flow. The FY2025 Form 10-K supports revenue of $275,235 million, operating income of $10,383 million, net income of $8,099 million and 914 warehouses.

Valuation conventions

The base DCF uses a 7.92% WACC and 5.5% terminal growth. The multiple method applies 25.0x to FY2027E EBITD, defined as operating income plus depreciation and amortization, adds forecast net cash and discounts the equity value back two years. The $997.84 reference price is a model comparison input.

DCF sensitivity

Value per share	7.00% WACC	7.92% WACC	9.00% WACC
3.5% terminal growth	$532	$425	$345
4.5% terminal growth	$730	$539	$414
5.5% terminal growth	$1,194	$747	$522

The table recalculates value with FY2026/FY2027 free cash flow of $6,583/$8,269 million, net cash of $9,571 million and 444.8 million shares. Values are rounded; the base case approximates the report’s $747.08 result. Only WACC and terminal growth vary.

Interpretation

Terminal value contributes approximately 95.9% of base enterprise value. The valuation therefore depends strongly on sustained growth and the spread between discount and growth rates. Lower growth or a higher WACC materially reduces value. Forecast growth, cost ratios and valuation inputs are model assumptions, rather than company guidance.

Source: Costco FY2025 Form 10-K, consolidated financial statements and warehouse information